

Table 26.9 Busted Patterns

Description	Bull Market
Busted patterns count	329 or 29%
Single bust count	180 or 55%
Double bust count	97 or 29%
Triple+ bust count	52 or 16%
Performance for all busted patterns	−17%
Single busted performance	−27%
Non-busted performance (Adam & Adam double top)	−15%

Table 26.9 shows busted pattern performance.

Busted patterns count. Over a quarter of patterns bust. That means price rises 10% or less before reversing and closing below the bottom of the chart pattern.

Busted occurrence. I counted how often a pattern busts (once, twice, or more than twice) and show the numbers in the table. Most are single busted patterns.

Busted and non-busted performance. I used the performance of Adam & Adam double *tops* as a proxy for a non-busted Adam & Adam double *bottom*. The busted performance, either for single busted patterns or the combination of single, double, and triple+, is better than non-busted patterns.

Trading Tactics

Table 26.10 shows trading tactics.

Measure rule, targets. Use the measure rule to compute a target price. The rule gives you a suggestion—an idea—of how far price might rise after the breakout. It's not a guarantee, and we'll talk about numbers in the moment.

To find the target, subtract the lowest low in whichever bottom is lower from the highest high between the two bottoms. Add the difference to the highest high. The result is the target price.